

DATA COMMENTARY · AUGUST LFS

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# Canada sheds 42k jobs in August

**Jay Zhao-Murray**

Chief Economist

## THE TAKE

“Most Canadian industries shed jobs in August, but losses were geographically concentrated. Montreal alone accounts for half the country’s employment decline.”

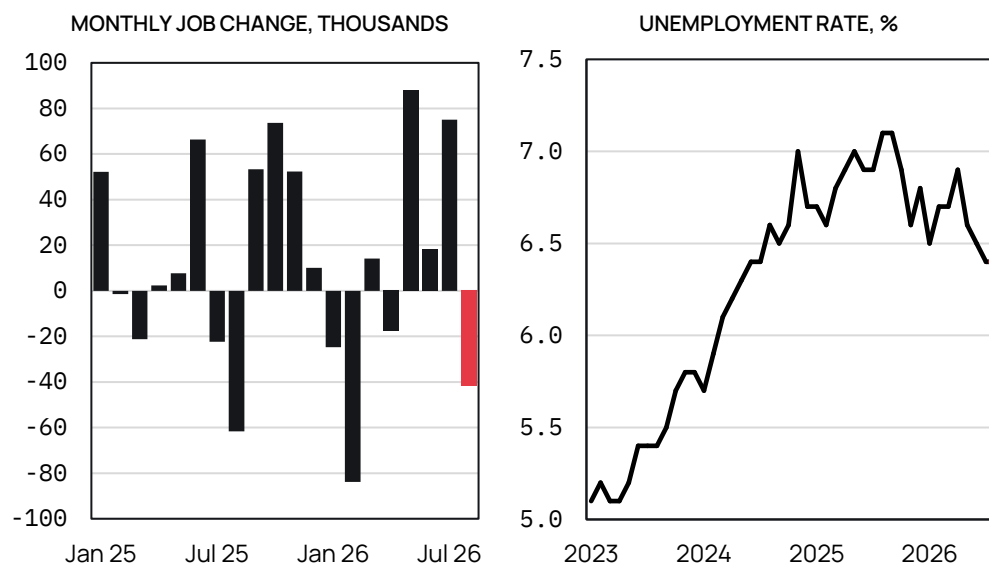
— JAY ZHAO-MURRAY · CHIEF ECONOMIST · SIBLEY CREEK

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## Employment declines

Canada lost 42k jobs in August following July's strong 75k gain, pulling the employment rate down a tenth to 60.8%. With labour force participation also ticking down, unemployment held steady at 6.4%. Job losses were seen across a broad range of industries (11/16). This was the first decrease in employment since April. Geographically, job losses were concentrated in Quebec and Ontario, with Montreal alone accounting for half the country's employment decline. Alberta and BC also shed jobs.

## Unemployment holds at 6.4%



Source: Statistics Canada. Seasonally adjusted.

## Wage growth slows

Average hourly wages grew 2% year-over-year to C\$37. Wage growth is decelerating quickly, and is now running a full percentage point behind inflation. Earlier this summer, wage growth was roughly keeping pace with rising prices. Weaker wage growth means, among other things, reduced inflation pressures. This should give the Bank of Canada yet another reason to stay on the sidelines through year-end.

# Contact

**Jay Zhao-Murray**

Chief Economist

(613) 883-0774

jay@sibleycreek.ca

**Thompson Richards**

Economist

(819) 328-2809

thompson@sibleycreek.ca

**Khoi Pham**

Research Analyst

(506) 897-2466

khoi@sibleycreek.ca

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